



HOW THEY STACK UP

A look at the key numbers for the three entities

	STFC	SCUF	SFL
AUM (₹ crore)	1,21,600	27,500	1,49,100
Borrowings (₹ crore)	1,06,400	26,500	1,32,900
Net worth (₹ crore)	24,600	8,500	33,100
No of branches	2,634	971	3,605
No of customers (million)	2.1	4.3	6.4

STFC Shriram Transport Finance Company

SCUF Shriram City Union Finance

SFL Shriram Finance Limited

Source: Edelweiss Wealth Research

GRAPHICS BY RAHUL SHARMA

is now down to 31 days, with the target being 25 days. Through all this, the audience, as it always has been, is the underserved. Revankar is quick to point out that the insurance business, in general, is capex-intensive and the objective is to keep a close watch on the expense ratio. The total equity base, as he points out, for Shriram's general and life together is ₹425 crore (₹250 crore and ₹175 crore, respectively). "This compares very well to those who have an equity base of at least 5X more or many others who have exited," he says. In mid-April, private equity major KKR inked a deal to acquire a 9.99 per cent stake in Shriram General Insurance for ₹1,800 crore, valuing the business at ₹18,000 crore.



"Surplus money in smaller centres gets converted into gold and does not always go to the bank. We are now dealing with the aspirational Indian. With a larger entity, there is the advantage of access, service, and we have a better view of his income"

UMESH REVANKAR
MD, SHRIRAM TRANSPORT
FINANCE COMPANY



"It [the IL&FS and Dewan Housing Finance crises] was a period of turmoil and we have now come off that hibernation. As a group, the focus on high asset quality has increased, and the economy is a lot more stable"

Y.S. CHAKRAVARTI
MD & CEO, SHRIRAM CITY
UNION FINANCE

The approach to the business is uncomplicated, yet effective. The ability to cater to the underserved is what is critical, and that raises the question on the plans for banking, a business that the group was keen on at one point. Thyagarajan is apprehensive today about a banking strategy (a proposed merger between the Shriram group and IDFC never went through about five years ago, with differences on valuation being the reason) because he thinks customers need "supportive credit" for which access is limited. In other words, he says, it is not enough to have a relationship based only on lending, but the need to be a complete finance partner—where everyone stands to gain. "When we entered truck financing, we brought in funds at a time when they were not coming in. Risks were high and so were interest rates. We still managed an IRR of 21-22 per cent," he says. To him, banks need to do what was done for the trucking community. "The way our businesses are structured today, I am not very keen."

Now, the scenario for the group is most interestingly poised as it embarks on a new journey. There has been some apprehension on the Shriram group after Thyagarajan. Laughing about how often he has been called an octogenarian, the man downplays the whole issue. "It does not really matter to the enterprise since a culture has been created. The direction for the road ahead is set," is how he concisely puts it. Referring to the predictable nature of the group's businesses, his view is that it is not "exciting enough to a lot of people". But that is precisely what makes Thyagarajan most comfortable. "Yes, it is a humdrum existence but a very effective one, where we will continue to deliver," he signs off with a smile. **BT**

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